



Equity Omni FoF delivered 79% return during the same period. US-focused schemes did pretty well, and so did the ones with Hong Kong, Taiwan and China exposures. “These funds have done well in recent times due to a positive outlook on emerging technologies, especially AI. Most companies have backed this confidence with robust corporate earnings supported by a stronger-than-expected US economy,” says Siddharth Srivastava, Head of ETF Products & Fund Manager, Mirae Asset Investment Managers. The Chinese tech stock rally, for instance, was aided by lower valuations, policy support and some recovery in the Chinese economy, he says.

Invesco Global Consumer Trends FoF has delivered 57%, Mirae Asset Hang Seng TECH ETF FoF 45%, Nippon India Taiwan Equity 40%, Mirae Asset Global X Artificial Intelligence & Tech ETF FoF 45%, and ICICI Pru Strategic Metal and Energy Equity FoF 42% in the past year, capturing the growth in different sectors and regions globally. International funds invest in exchange traded funds (ETFs), funds of funds (FoF), or both.

One of the reasons investors are flocking to global funds is their desire to diversify geography-specific risk or reduce home market bias. The variety of stocks in the listed universe globally is also different, and some of

these businesses—such as payment processors, search engines, cloud computing players, AI infrastructure providers, and industrial automation and global software giants—are not available in the domestic market.

“Valuations across sectors are also different in global markets. Valuations of consumer businesses in India are relatively higher than their global peers,” says Raunak Onkar, Fund Manager & Research Head of PPFAS Mutual Fund, who manages the foreign investment component of India’s largest flexicap fund. He explains that the short-term performance of global stocks could attract investors towards global funds but cautions against treating equities as a short-term asset class. “The holding period needs to be longer (5+ years). Only then should they consider investing globally as well,” says Onkar.

Onkar’s Parag Parikh Flexi Cap manages assets of ₹1.19 lakh crore. There are also other big MF schemes such as SBI Focused Equity Fund, SBI Technology Opportunity Fund, DSP Multi Assets Allocation Fund and Kotak Pioneer Fund that invest 10-20% funds into foreign stocks. For example, SBI Focused Equity has Alphabet as its biggest equity bet at 7.77%; DSP Multi Assets Allocation Fund’s 19.5% foreign portfolio has